

ECON 0100 | Homework C3 | Externalities

Due: TBD

Homework is designed to both test your knowledge and challenge you to apply familiar concepts in new applications. Answer clearly and completely, and show your work so you can later understand your thought process. You are welcomed and encouraged to work in groups as long as your work is your own. Submit your answers on Gradescope when you're finished: each answer there is a selection.

Q1 | Malodorous Byproducts

Butterbeer is beloved by Hogwarts students and teachers alike and is widely available at wizarding shops. But the beverage has the negative effect of generating displeasing odors from its imbibers. Model the private market for butterbeer using private and social cost and benefit curves. Indicate on your graph the private equilibrium quantity and social equilibrium quantity.